

86 / 100 — STRONG DOCUMENTED DURABILITY

ADX · Adams Diversified Equity Fund, Inc. · Equity closed-end fund · Reported forward yield: 7.7% · Evidence confidence: High

Research summary: ADX has a long operating history, no material structural leverage, a low expense ratio, strong long-term NAV total returns, and a managed distribution currently supported primarily by realized capital gains rather than portfolio dividend income alone. The main limiting evidence is that the 8% managed-distribution policy requires recurring realization of gains to sustain the payout without return of capital, while the current market discount has narrowed substantially versus its recent historical range. The score would weaken materially if NAV total return stopped covering the distribution over a multi-year period or if recurring return of capital emerged without corresponding NAV recovery.

Standardization statement: This report uses public information and the same methodology for every reader. It does not use personal financial circumstances.

A1 — At a Glance

Metric	ADX
Market price	\$25.86 as of Aug. 21, 2026
NAV	\$26.37
Discount to NAV	-1.9%
Forward distribution yield	~7.7%
What it is	Internally managed diversified U.S. large-cap equity CEF
Net assets	~\$3.3 billion
Expense ratio	0.47%
Structural leverage	None material
Holdings	104
Managed distribution policy	8% of average NAV annually, generally 2% quarterly
Research classification	Strong documented durability
Distribution Support Score	83 / 100
Historical Capital Record	Income Intact
Valuation vs own history	More expensive than recent history
Valuation vs peer	Higher valuation / much narrower discount than GAM
Evidence confidence	High

ADX's sponsor reported a \$26.37 NAV and \$25.86 market price on Aug. 21, producing a 1.9% discount. At June 30 the portfolio contained 104 holdings, approximately \$3.3 billion of net assets, and had a 0.47% expense ratio.

The current quarterly distribution is \$0.50. Annualizing $\$0.50 \times 4 = \2.00 and dividing by the \$25.86 market price gives approximately 7.73%. This is mechanical arithmetic rather than a forecast; the fourth-quarter distribution can differ under the fund's policy.

A2 — Score Breakdown

Category	Score	Evidence
Distribution Support	25 / 30	The current 8%-of-NAV policy has recently been supported mostly by realized capital gains; estimated 2026 distributions through Q3 showed no cumulative return of capital.
Capital Preservation	24 / 25	NAV total return has been strong over 3-, 5- and 10-year periods and NAV recovered strongly following the 2022 decline.
Business & Asset Quality	18 / 20	Diversified large-cap portfolio with substantial high-quality franchises, offset by meaningful technology and mega-cap concentration.
Valuation Context	9 / 15	The current 1.9% discount is considerably narrower than ADX's approximately 5.9% one-year average discount and much narrower than GAM's current discount.
Management & Balance Sheet	10 / 10	Internally managed, exceptionally long operating history, very low expenses for an active CEF and essentially no structural leverage.
TOTAL	86 / 100	Strong documented durability

A3 — Plain-Language Explanation

ADX does not generate an 8% distribution from ordinary stock dividends alone.

Its cash-flow mechanism combines:

portfolio dividends + realized capital gains + potentially return of capital.

The managed distribution policy targets approximately 8% of average NAV per year. The fund therefore relies substantially on appreciation in its equity portfolio being converted into realized gains.

That distinction matters. For the six months ended June 30, 2026, ADX generated only \$11.63 million of net investment income, versus approximately \$117.0 million of distributions. At the same time, however, it generated approximately \$132.8 million of realized gains and another \$176.2 million of unrealized appreciation.

The key economic test therefore is not ordinary-income coverage alone. For this type of equity CEF, NAV total return and realized gains are the more appropriate measures of distribution sustainability.

A4 — Supporting Evidence

Long operating record. ADX dates to 1929 and reports more than 90 years of distributions.

Strong long-term NAV performance. As of July 31, 2026, annualized NAV total returns were:

Period	ADX NAV return
1 year	19.1%
3 years	19.8%
5 years	13.6%
10 years	16.1%

Recent distributions have ultimately been supported by investment gains. For the first three declared distributions of 2026, estimated sources totaled:

\$0.13 net investment income

\$1.32 long-term realized gains

\$0.00 cumulative return of capital

for a total of \$1.45 per share.

Strong first-half economics. During the six months ended June 30, 2026:

NI: \$11.63 million

realized gains: \$132.81 million

increase in unrealized appreciation: \$176.24 million

total increase from operations: \$320.68 million

distributions: \$117.00 million

The period's investment economics therefore substantially exceeded distributions.

No material debt leverage. June 30 assets were approximately \$3.305 billion and total liabilities only approximately \$14.6 million, largely operating liabilities rather than long-term borrowing.

A5 — Contrary Evidence

The strongest contrary evidence is the dependence on capital gains.

ADX's 2025 distribution was \$1.85 per share, consisting of only \$0.16 of investment income, \$0.12 of short-term gains and \$1.57 of long-term gains.

Similarly, the Q3 2026 distribution consisted of approximately 6% net investment income and 94% long-term capital gains.

That means the managed distribution is structurally dependent on the portfolio continuing to create and realize appreciation over time.

There is also evidence that individual quarterly Section 19 notices can temporarily classify distributions as return of capital. For example, the May 2026 distribution initially estimated 52% as return of capital. Subsequent realized gains changed the year-to-date estimate such that cumulative 2026 ROC was zero by the Q3 declaration.

This illustrates why interim Section 19 classifications should not be interpreted independently of full-year portfolio results.

A6 — Evidence That Would Change the Score

Would strengthen the score

A sustained combination of:

- NAV total return comfortably above the managed distribution rate;
- continued realization of gains sufficient to finance the distribution;
- stable or rising NAV after distributions;
- continued absence of meaningful leverage;
- lower portfolio concentration;
- distribution tax characterization showing little or no destructive ROC.

Would weaken the score

The score would decline if:

- multi-year NAV total return falls persistently below the approximately 8% distribution requirement;
- realized gains become insufficient and recurring ROC fills the shortfall;
- NAV falls across an entire market cycle after including distributions;
- portfolio concentration increases materially;
- leverage becomes a significant funding source.

Would invalidate the present distribution classification

Persistent distributions funded by capital rather than investment earnings/gains combined with deteriorating NAV and weak total return would no longer support the current Income Intact classification.

A7 — Monitoring Indicators

Area	Primary indicator
Distribution support	NAV total return versus ~8% distribution requirement
Realized economics	Net realized gains
Capital preservation	NAV per share
Distribution accounting	Section 19(a) ROC classification
Portfolio concentration	Technology weight and top-10 holdings
Balance sheet	Borrowing / structural leverage
Valuation	Discount or premium to NAV
Costs	Expense ratio
Next important evidence	Full-year 2026 report and final 2026 tax characterization

A8 — Standardized Peer Comparison

Peer: General American Investors Company — GAM

GAM is selected because it is another very old, actively managed U.S. equity closed-end fund emphasizing capital appreciation and realizing gains for shareholder distributions.

Metric	ADX	GAM
Structure	Equity CEF	Equity CEF
Inception	1929	1927
Current discount	1.9%	10.7%
5-year NAV return	13.6%	15.5%
10-year NAV return	16.1%	15.3%
Expense ratio	0.47%	~1.1% recent annual figure
Distribution model	Managed ~8% NAV	Distributes substantially all income and realized gains
Structural leverage	Essentially none	Preferred-stock leverage
Current-income reliance	Low	Low
Capital-gain reliance	High	High

ADX's fee structure is materially lower, while GAM presently trades at a substantially larger NAV discount. GAM also uses \$190 million of preferred stock, whereas ADX's balance sheet does not show comparable structural financing.

GAM's distribution policy differs importantly: it generally distributes substantially all ordinary income and realized gains rather than targeting a fixed 8%-of-NAV managed payout.

On capital performance, the two have been relatively close. For the five years ended June 30, 2026, GAM's NAV return was 15.51%, while ADX reported 14.1% for the comparable June 30 period. ADX's 10-year NAV return of 16.5% slightly exceeded GAM's 15.29% over that same June 30 measurement date.

A9 — Distribution Evidence

ADX adopted its present managed-distribution framework in 2024. It commits to distributing approximately:

2% of average NAV each quarter × 4 = 8% annually.

The fourth-quarter distribution may be higher if necessary to meet regulated-investment-company distribution requirements.

Recent distribution history

Year	Total/share	Income	ST gains	LT gains
2021	\$2.98	\$0.20	\$0.35	\$2.43
2022	\$1.07	\$0.18	\$0.01	\$0.88
2023	\$1.30	\$0.15	\$0.00	\$1.15
2024	\$2.50	\$0.17	\$0.30	\$2.03
2025	\$1.85	\$0.16	\$0.12	\$1.57

2026 declared distributions

Q1: \$0.47

Q2: \$0.48

Q3: \$0.50

Total declared through Q3: \$1.45.

As of the Q3 declaration, estimated cumulative sourcing was approximately 9% NII and 91% long-term realized gains, with no estimated cumulative ROC.

Distribution Support rescaling

Distribution Support raw score:

25 / 30

Rescaled:

$25 \div 30 \times 100 = 83$

83 / 100 — Supported with identified variability

The variability is primarily the dependence on capital-gain realization.

A10 — Capital Evidence

The methodology classifies ADX's public historical record as:

Income Intact

The strongest supporting evidence is that NAV total returns have substantially exceeded distributions over the longer periods reviewed.

ADX's financial highlights show annual NAV total returns of:

2021: +29.8%

2022: -17.3%

2023: +27.5%

2024: +23.6%

2025: +18.9%

H1 2026: +10.8%

NAV per share moved from \$20.06 at the start of 2021 to \$26.34 at June 30, 2026, despite substantial distributions over the period.

This does not demonstrate uninterrupted capital growth—2022 produced a significant drawdown—but it does show subsequent recovery and net long-term NAV appreciation.

A11 — Assets & Balance Sheet

ADX held approximately 99.5% common stocks at June 30, 2026.

The largest sector exposure was:

Information Technology: 37.7% of net assets.

Major holdings included:

NVIDIA — 7.6%

Apple — 6.7%

Alphabet — 5.8%

Microsoft — 4.6%

Amazon — 3.8%

The top ten represented approximately 40.3% of net assets.

This portfolio is diversified by number of securities but materially concentrated in large technology and mega-cap companies.

Balance sheet

June 30, 2026:

Total assets: \$3.305B

Total liabilities: \$14.6M

Net assets: \$3.290B

There was no material traditional borrowing reported.

ADX does use paired total-return swaps, but the average long and short notionals during H1 2026 were approximately \$5.9 million each and largely offsetting relative to a \$3.3 billion portfolio.

A12 — Valuation Evidence

Current

August 21, 2026:

NAV: \$26.37

Market price: \$25.86

discount: 1.9%

Own recent history

A specialist CEF database reported a roughly 5.87% average discount over the preceding year, versus approximately 1.9% currently.

Therefore, ADX's current market valuation is above its own recent historical norm, because investors are receiving a substantially smaller NAV discount.

Historical evidence also shows ADX has frequently traded at much wider discounts. Research based on Bloomberg data estimated an average discount of approximately 14.3% between 2005 and 2025. That longer-history figure is secondary evidence and therefore carries less weight in the score than current sponsor and market data.

Peer

GAM currently reports approximately a 10.7% discount to NAV.

ADX therefore trades at a materially higher relative valuation than this selected strategy peer.

A13 — Material Risks

1. Managed-distribution sustainability

Risk: An approximately 8% NAV distribution requires meaningful economic returns over time.

Measurement: NAV total return versus distribution rate.

Deterioration indicator: Persistent NAV total returns materially below the distribution rate across a full market cycle.

2. Equity and technology concentration

Information Technology accounted for 37.7% of net assets, while the ten largest positions represented 40.3%.

Measurement: sector exposure and top-10 percentage.

Deterioration indicator: concentration increasing alongside deteriorating fundamentals or valuation compression in dominant holdings.

3. Discount normalization

ADX's discount has narrowed to approximately 1.9%, versus a much wider one-year average.

CEF shareholders are exposed to both:

NAV movement + discount/premium movement.

A widening discount can therefore reduce market-price returns even when underlying NAV performance is positive.

A14 — Strategy Characteristics & Catalysts

ADX is primarily exposed to:

U.S. large-cap corporate earnings;
technology and AI-related capital spending;
equity-market valuations;
realized capital gains;
large-company profitability;
interest-rate and macroeconomic conditions affecting equity multiples.

The fund's managers specifically cited semiconductor and AI-related spending as important market drivers during H1 2026.

Important upcoming public evidence includes:

Q4 distribution declaration;
final 2026 realized gains;
final annual distribution;
year-end NAV;
2026 Form 1099-DIV/tax characterization;
2026 annual report.

A15 — General Tax Characteristics

ADX is a regulated investment company and generally issues Form 1099-DIV, rather than a partnership K-1.

Distributions can contain:

ordinary dividend income;
qualified dividend income where applicable;
short-term capital gains;
long-term capital gains;
return of capital.

Interim Section 19(a) classifications are estimates. Final tax treatment is established after year-end.

No individual tax-account treatment is evaluated here.

A16 — Evidence & Data Quality

Retrieved — High confidence

Verified from current sponsor financial statements or official sponsor materials:

price and NAV;
net assets;
portfolio holdings;
distribution amounts;
managed-distribution policy;
expense ratio;
NII;
realized gains;
distributions;
balance-sheet assets and liabilities;

NAV total returns;

2026 estimated distribution sourcing.

Calculated

Forward market yield

$$\$0.50 \times 4 = \$2.00$$

$$\$2.00 \div \$25.86 = 7.73\%$$

Rounded: 7.7%

Distribution Support score

$$25 \div 30 \times 100 = 83.3$$

Rounded: 83 / 100

Moderate-confidence inputs

The one-year average ADX discount comes from specialist CEF data rather than the sponsor and is used only for valuation context.

Research incomplete

A standardized ten-year daily or monthly calculation of ADX's own median discount was not independently reconstructed from primary exchange data during this research session.

That gap reduces confidence specifically in the valuation-history component, but does not materially affect the financial-statement or distribution-support analysis.

A17 — Sources Relied Upon

Primary and official sources materially relied upon include:

ADX official fund page and current pricing

ADX June 30, 2026 Semi-Annual Report

ADX Q3 2026 distribution announcement

General American Investors official fact sheet

GAM official distribution policy

The SEC confirms Adams Diversified Equity Fund, Inc. as the issuer associated with ADX; SEC records identify the issuer under CIK 0000002230.

A18 — Terms Used

NAV: Net asset value—the value of the fund's assets minus liabilities, expressed per share.

CEF: Closed-end fund. Shares trade on an exchange independently of NAV and can therefore trade at discounts or premiums.

NII: Net investment income—primarily portfolio dividends and interest less fund expenses.

Realized gain: Investment appreciation that becomes recognized when a security is disposed of.

Return of capital: A distribution classification representing amounts not currently characterized as investment income or realized taxable gain. ROC is not automatically destructive; its economic significance must be assessed alongside NAV and total return.

Managed distribution policy: A predetermined framework for distributing a specified percentage of NAV regardless of the precise amount of current portfolio dividend income.

Discount to NAV: The percentage by which a CEF's market price is below its underlying NAV.

A19 — Permitted Follow-Ups

Standardized follow-up research can include:

detailed distribution-support arithmetic;

ADX versus GAM metric-by-metric comparison;

historical NAV and distribution table;

mechanical 20% or 30% market-return stress walkthrough;

detailed review of ADX's Section 19(a) notices;

printable research-report output.

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